

LONG BEFORE THE current surge in airfares, New Delhi-based Supreme Court lawyer Sameer Jain found all flights on the Delhi-Dehradun sector chock-full when he was looking for a ticket to fly there on short notice. With only two seats left on a flight operated by a low-cost carrier (LCC), Jain had to shell out ₹50,000 for the 45-minute flight to the Uttarakhand capital. “There was no other option. And, I had to report for the meeting at a certain time.

Thankfully, I got a seat. In a multi-operator scenario and a free economy, prices for air tickets are a function of demand and supply,” remarks Jain, Managing Partner at law firm PSL Partners, while reminiscing about that day nearly seven years ago. Fast-forward to 2023, and airfares have again been heading north since last August, when the government removed fare caps introduced as a result of the Covid-19 pandemic, to prevent airlines from overcharging. In recent weeks, however, fares have moderated slightly, by 4-5 per cent, on certain routes after the government’s intervention.

“It’s a demand-supply situation. As long as the airlines are able to fill up their seats at a certain price, fares will go up,” says Sabina Chopra, Co-founder & COO of Yatra, one of the leading online travel agencies (OTAs) in the country. Giving Goa’s example,



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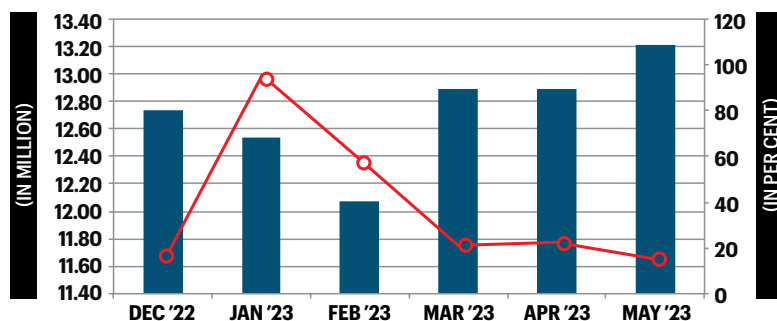
she says reservations for flights to the popular tourist destination were on the higher side even during the peak of summer in May and June.

“Domestic airfares have jumped by up to 30 per cent between January 2022 and May 2023, from the pre-pandemic period of January to December 2019,” says Saujanya Shrivastava, COO of Flights, Holidays & Gulf Cooperation Council at the country’s largest OTA MakeMyTrip. With the lifting of Covid-19 restrictions and revenge travel gathering steam, passenger air traffic crossed the pre-pandemic level in December 2022. It’s not simply supply and demand that decides airfare, says Shrivastava. “Multiple factors, including the availability of the operational

GROWTH RUNWAY



THE AVIATION INDUSTRY HAS WITNESSED YEAR-ON-YEAR GROWTH IN PASSENGER TRAFFIC FOR SIX MONTHS IN A ROW TILL MAY



● MONTHLY PASSENGER TRAFFIC (LHS) —○— YoY GROWTH (RHS) **SOURCE** DGCA

